UNION PUBLIC SERVICE COMMISSION

Civil Services (Preliminary Exam) - 2022

GENERAL STUDIES : PAPER-I

Time : 2 hours **(Exam date : 05.06.2022)** **Maximum Number : 200**

1. "Rapid Financing Instrument" and "Rapid Credit Facility" are related to the provisions of lending by which one of the following?
(a) Asian Development Bank
(b) International Monetary Fund
(c) United Nations Environment Programme Finance Initiative
(d) World Bank

Ans. (b) : The Rapid Financing Instrument (RFI) is the lending facility of the International Monetary Fund (IMF) that provides rapid financial assistance, which is available to all member countries, who are facing an urgent balance of payments need. The Rapid Financing Instrument was created as part of a broader reform to make the IMF's financial support more flexible to address the diverse needs of member countries. Whereas, the **Rapid Credit Facility (RCF)** facility of IMF provides rapid concessional financial assistance to low-income countries facing an urgent balance of payments (BoP) need with no ex post conditionality, where a full-fledged economic program is neither necessary nor feasible.

2. With reference to the Indian economy, consider the following statements:
1. An increase in Nominal Effective Exchange Rate (NEER) indicates the appreciation of rupee.
2. An increase in the Real Effective Exchange Rate (REER) indicates an improvement in trade competitiveness.
3. An increasing trend in domestic inflation relative to inflation in other countries is likely to cause an increasing divergence between NEER and REER.

Which of the above statements are correct?
(a) 1 and 2 only (b) 2 and 3 only
(c) 1 and 3 only (d) 1, 2 and 3

Ans. (c) : Statement 1 is correct: NEER (Nominal Effective Exchange Rate) is a measure of the value of a currency against a weighted average of several foreign currencies. An increase in NEER indicates an appreciation of the local currency against the weighted basket of currencies of its trading partners.
Statement 2 is incorrect: REER (Real Effective Exchange Rate) is the measure of the value of a currency against a weighted average of several foreign currencies divided by a price deflator or index of costs. An increase in REER implies that exports become more expensive and imports become cheaper; therefore, an increase indicates a loss in trade competitiveness.
Statement 3 is correct: An increasing trend in domestic inflation relative to inflation in other countries is likely to cause an increasing divergence between NEER and REER.

3. With the reference to the Indian economy consider the following statements :
1. If the inflation is too high, Reserve Bank of India (RBI) is likely to buy government securities.
2. If the rupee is rapidly depreciating, RBI is likely to sell dollars in the market.
3. If interest rates in the USA or European Union were to fall, that is likely to induce RBI to buy dollars.

Which of the statements given above are correct?
(a) 1 and 2 only (b) 2 and 3 only
(c) 1 and 3 only (d) 1, 2 and 3

Ans. (b): If the inflation is too high, the Reserve Bank of India (RBI) is likely to reduce the money supply in the economy to control inflation. Thus, RBI sells the government securities so as to suck the excess of the money supply from the economy to control the inflation.
The Reserve Bank of India intervenes in the currency market to support the rupee as a weak domestic unit can increase country's import bill. If RBI wishes to prop up the rupee value, then it can sell dollar and when it needs to bring down rupee value, it can buy dollars.
When the United States raises its domestic interest rates, this tends to make India less attractive for the currency trade. As a result, some of the money may be expected to move out of the Indian markets and flow back to the United States, therefore decreasing the value of India's currency against the US dollar. Thus, if interest rates in the USA or European Union were to fall, the value of rupee against the dollar increases and that is likely to induce RBI to buy dollars.
Hence only 2nd and 3rd statements are correct.

4. With reference to the "G20 Common Framework", consider the following statements:
1. It is an initiative endorsed by the G20 together with the Paris Club.
2. It is an initiative to support Low Income Countries with unsustainable debt.

Which of the statements given above is/are correct?
(a) 1 only (b) 2 only
(c) Both 1 and 2 (d) Neither 1 nor 2

Ans. (c) : The Common Framework for debt treatment beyond the DSSI (Common Framework) is an initiative endorsed by the G20, together with the Paris Club to support in a structural manner for Low-Income Countries with unsustainable debt. The Common Framework is intended to deal with insolvency and protracted liquidity problems, along with the implementation of an IMF-supported reform program.

5. With reference to the Indian Economy, what are the advantages of "Inflation-Indexed Bonds (IIBs)"?
1. Government can reduce the coupon rates on its borrowing by way of IIBs.
2. IIBs provide protection to the investors from uncertainty regarding inflation.
3. The interest received as well as capital gains on IIBs are not taxable.

Which of the statements given above are correct?
(a) 1 and 2 only (b) 2 and 3 only
(c) 1 and 3 only (d) 1, 2 and 3

Ans. (a) : Inflation-indexed bonds (IIBs) provide insurance to investors from inflation and cost savings for the Government on account of reduction in coupon payments with lowering inflation rate, elimination of uncertainty risk premium and containing inflationary expectations. Hence statements 1 and 2 are correct. However, extant tax provisions will be applicable on interest payment and capital gains on IIBs. There will be no special tax treatment for these bonds. Therefore 3rd statement is incorrect.

6. With reference to foreign-owned e- commerce firms operating in India, which of the following statements is/are correct?
1. They can sell their own goods in addition to offering their platforms as market-place.
2. The degree to which they can own big sellers on their platforms is limited.

Which of the statement given above are correct?
(a) 1 only (b) 2 only
(c) Both 1 and 2 (d) Neither 1 nor 2

Ans. (d) : Statement 1 is incorrect: Foreign firms are prevented from holding inventory or selling their own goods. They can offer their platforms only as "marketplaces" for other buyers and sellers.
Statement 2 is incorrect: The degree to which they can own all sellers (not big sellers) on their platforms is limited, to prevent those sellers from acting covertly on their behalf.

7. Which of the following activities constitute real sector in the economy?
1. Farmers harvesting their crops
2. Textile mills converting raw cotton into fabrics
3. A commercial bank lending money to a trading company
4. A corporate body issuing Rupee Denominated Bonds overseas

Select the correct answer using the code given below :
(a) 1 and 2 only (b) 2, 3 and 4 only
(c) 1, 3 and 4 only (d) 1, 2, 3 and 4

Ans. (a) : The real sector of the economy consists of enterprises (non-financial corporations), households and non-profit institutions serving households. Non-financial organizations comprise all resident units involved in the production of market goods and non-financial services. For example, farmers harvesting their crops and Textile mills converting raw cotton into fabrics. Corporations principally engaged in financial intermediation or in auxiliary financial activities that contribute to financial intermediation are considered as the financial sector. Hence only options 1 and 2 are correct.

8. Which one of the following situations best reflects "Indirect Transfers" often talked about in media recently with reference to India?
(a) An Indian company investing in a foreign enterprise and paying taxes to the foreign country on the profits arising out of its investment
(b) A foreign company investing in India and paying taxes to the country of its base on the profits arising out of its investment
(c) An Indian company purchases tangible assets in a foreign country and sells such assets after their value increases and transfers the proceeds to India
(d) A foreign company transfers share and such shares derive their substantial value from assets located in India.

Ans. (d) : Indirect transfers refer to situations when foreign entities own shares or assets in India. The shares of such foreign entities are transferred instead of a direct transfer of the underlying assets in India.

9. With reference to the expenditure made by an organization or a company, which of the following statements is /are correct?
1. Acquiring new technology is capital expenditure.
2. Debt financing is considered capital expenditure, while equity financing is considered revenue expenditure.

Select the correct answer using the code given below :
(a) 1 only (b) 2 only
(c) Both 1 and 2 (d) Neither 1 nor 2

Ans. (a) : Capital expenditures are funds used by a company to acquire, upgrade, and maintain physical assets such as property, plants, buildings, technology, or equipment.
When a company borrows money to be paid back at a future date with interest it is known as debt financing. Repayment of loan is an example of capital expenditure. Equity financing is the process of raising capital through the sale of shares. It is an example of non-debt capital receipts. Capital receipts are receipts that create liabilities or reduce financial assets. They also refer to incoming cash flows. Therefore only statement1 is correct.

10. With reference to the Indian economy, consider the following statements:
1. A share of the household financial savings goes towards government borrowings.
2. Dated securities issued at market-related rates in auctions form a large component of internal debt.

Which of the above statements is/are correct?
(a) 1 only (b) 2 only
(c) Both 1 and 2 (d) Neither 1 nor 2

Ans. (c) : Household Savings is often deposited in financial institutions, which are used by them to buy government securities. Hence, Statement-1 is correct.
Internal debt consists of marketable debt and non-marketable debt. Marketable debt comprises of Government dated securities and Treasury Bills. Dated Securities form a large component of internal debt.

11. Consider the following statements:
1. Pursuant to the report of H.N. Sanyal Committee, the Contempt of Courts Act, 1971 was passed.
2. The Constitution of India empowers the Supreme Court and the High Courts to punish for contempt of the mselves.
3. The Constitution of India defines Civil Contempt and Criminal Contempt.
4. In India, the Parliament is vested with the Powers to make laws on Contempt of Court.

Which of the statements given above is/are correct?
(a) 1 and 2 only (b) 1, 2 and 4
(c) 3 and 4 only (d) 3 only

Ans. (b) : The Contempt of Courts Act, 1971 was passed after the Report of the H. N. Sanyal Committee on Contempt of Courts, 1963. Hence 1st statement is correct.
The Supreme Court and the High Courts of India have been empowered with the power to penalize for Contempt of Court under Articles 129 and 215 of the Constitution of India. Hence 2nd statement is correct.